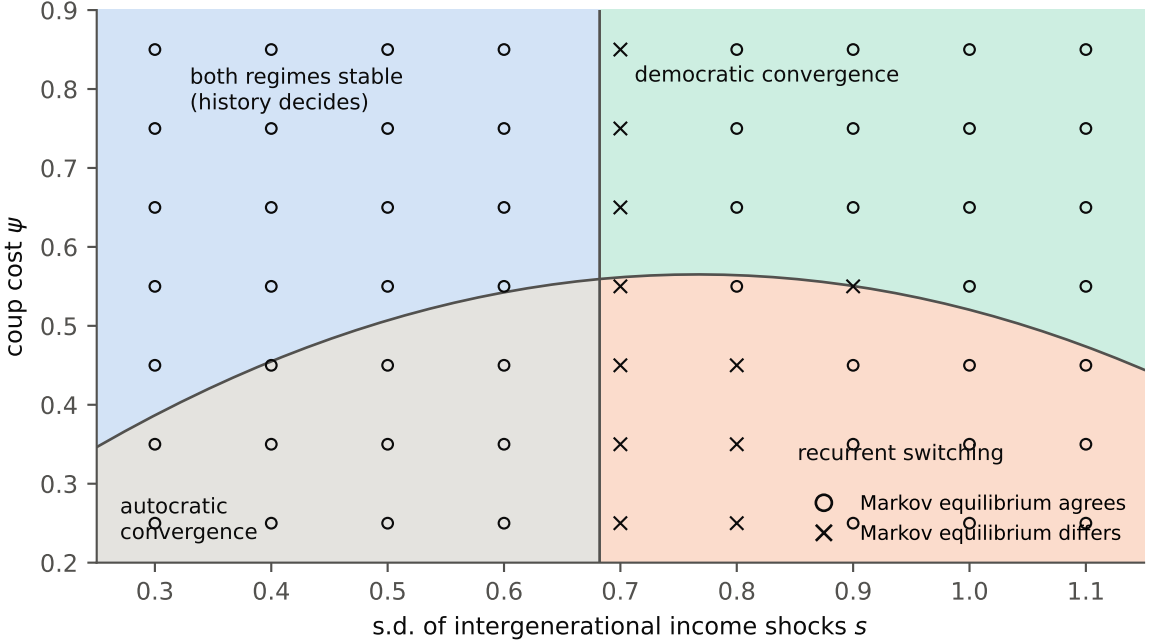
both regimes stable
(history decides)
democratic convergence
recurrent switching
autocratic
convergence
Markov equilibrium agrees
Markov equilibrium differs
coup cost ψ
s.d. of intergenerational income shocks s
0.9
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.3
0.4
0.5
0.6
0.7
0.8
0.9
1.0
1.1